Marvin BRAUD

LVMH

Louis Vuitton Moët Hennessy - MC

04/11/2025

Equity Research Report

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LVMH

Company Overview

Company Highlights

- **History:** Founded in 1987 from the merger of Louis Vuitton and Moët Hennessy, LVMH became the world's leading luxury group under Bernard Arnault, who gained control in 1989. Today, the group operates across six business segments (Fashion & Leather Goods, Wines & Spirits, Perfumes & Cosmetics, Watches & Jewelry, Selective Retailing, and Other Activities) and over 80 iconic brands including Dior, Fendi, Tiffany & Co., and Sephora and is listed on Euronext Paris (EPA: MC), part of the CAC 40.
- **Valuation:** LVMH trades at roughly €620 and a PER of around 28x, above the luxury sector average (20x), with an average target price near €585, implying a 10% downside. Its capitalization exceeds €310 billions, LVMH is also among Europe's most valuable companies by market capitalization.
- **Strategy:** Focused on brand elevation, geographic expansion, and sustainability (LIFE 360), LVMH strengthens its leadership through digital innovation and selective acquisitions
- **Corporate Finance Transactions:** Acquired Tiffany & Co. for $14 billion (UK) in 2021
- **Ownership:** among the biggest shareholders are Bernard Arnault (48%), Blackrock (2%) and the Vanguard group (2%)

Valuation & Share Performance

Key Valuation Statistics

Enterprise Value	**€335.52bn**	**Revenue (FY24)**	**€84.68bn**
Market Cap	**€322.45bn**	**EBITDA (FY24)**	**€20.56bn**
P/E	28.04x	EBITDA Margin '24	24.83%
EV/EBITDA	14.05x	Debt / EV	0.59x
Cash	€12.33bn	Total Debt	€39.71bn

Industry Data	Average
Lux sector	
EV/EBITDA – 14.05	12
EV/Revenue – 4.05	3.5
P/E – 28.04	20

Key Metrics	Unit
Gross Margin	66.03%
ROIC	10.47%
Debt to Equity	0.59
Cash ratio	0.31
ROA	7.83%
Pretax Margin	19.69%

Revenue Mix	%	Revenue *(bn)*
Fashion & Leather goods	48%	€41.06
Selective retailing & other activities	23%	€18.26
Watches & Jewellery	12%	€10.58
Perfume & Cosmetics	10%	€8.42
Wines & Spirits	7%	€5.86

Share Price	Current: **€648.30**	High/Low 52W: 762.7/436.55

LVMH Business Model

Operating Segments

LVMH, a global leader in luxury goods, organizes its diverse portfolio through three main operating segments, each focusing on a distinct market and product category to drive growth and brand prestige.

- **Fashion & Leather Goods** – This segment encompasses iconic brands such as Louis Vuitton and Dior, offering high-end clothing, handbags, and accessories. It remains the largest contributor to LVMH's revenue.
- **Wines & Spirits** – Covering premium beverages including Moët & Chandon, Dom Pérignon, and Hennessy, this segment targets connoisseurs worldwide and benefits from strong brand heritage.
- **Perfumes & Cosmetics** – Featuring brands like Dior, Guerlain, and Givenchy, this segment delivers fragrance, skincare, and makeup products, leveraging innovation and luxury positioning.

Key Figures

- Revenue for FY 2024: **€84.7 billion**
- Net Adjusted Income for FY 2024: **€10.98 billion**
- Net Adjusted Income for Q3 2025: **€1.12 billion** (increasing 1% YoY)
- **200 518** employees
- Market cap : **€306.6 billion**

Competitors

RICHEMONT

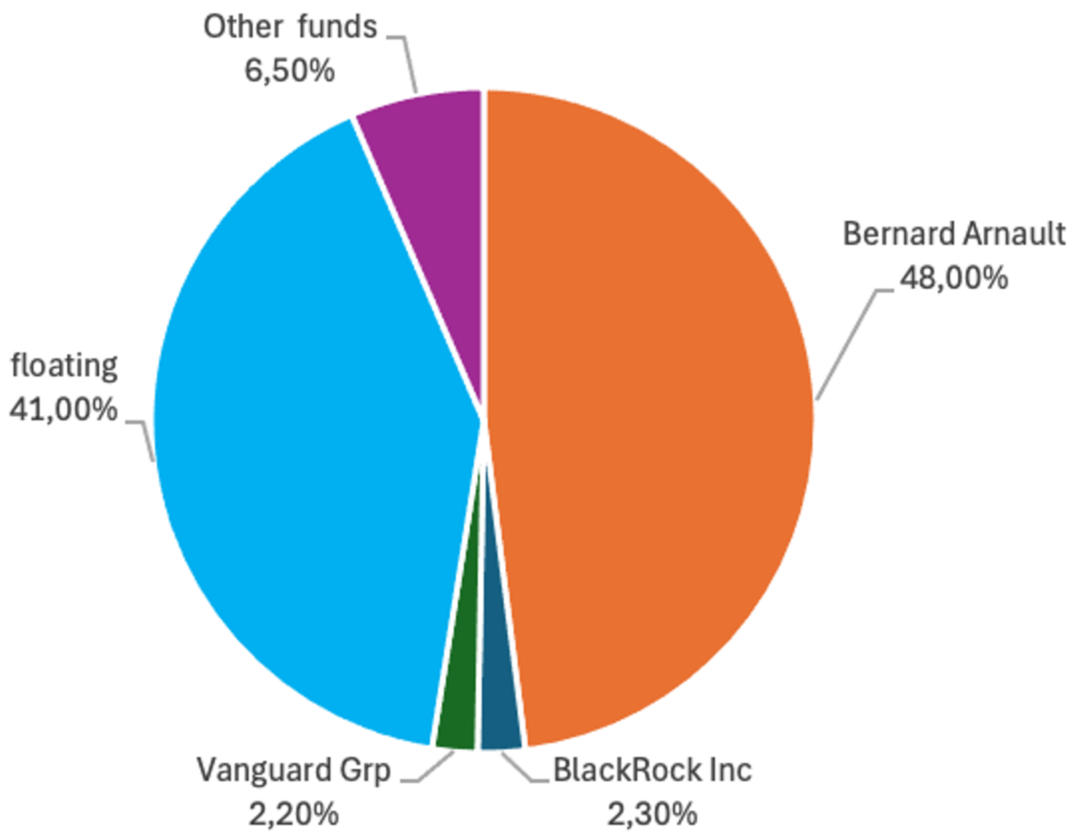
KERING

PRADA

HERMÈS PARIS

Shareholder Ownership Analysis

Ownership Analysis



Operating Forecast

Revenue Drivers **Revenue & EBITDA Forecast**

In billions €	2021	2022	2023	2024	E2025	E2026	E2027
Operating Income	17,16 €	21,00 €	22,56 €	18,91 €	16,89 €	17,98 €	19,74 €
Net profit	12,04 €	14,08 €	15,17 €	12,55 €	10,84 €	12,03 €	13,45 €
Operating income growth (%)		18,3%	6,9%	-19,3%	-12,0%	6,0%	8,9%
Net profit growth (%)		14,5%	7,2%	-20,9%	-15,8%	9,9%	10,5%
EBITDA	22,98 €	27,28 €	29,98 €	27,37 €	24,63 €	25,93 €	27,77 €
EBITDA Margin (%)	29,88%	29,36%	29,32%	26,49%	30,55%	31,21%	31,49%

Wines & Spirits: -8% organic decline over the first nine months of 2024, mainly due to weaker demand in the U.S. and Asia.

Selective Retailing: +6% driven by the strong performance of *Sephora* stores worldwide.

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LVMH

Industry Overview

Key Factors

- **Brand Heritage and Exclusivity** – Strong historical brands (Hermès, …) and limited availability drive consumer desire and justify premium pricing.
- **Global Market Dynamics** – Growth is influenced by emerging markets (especially Asia, Middle-East), tourism, and changing consumer demographics.
- **Innovation and Creativity** – Continuous product innovation, collaborations, and design creativity are essential to stay competitive. However, heritage cannot go down the drain as consumers identify with it.
- **Digital Transformation and E-commerce** – Online presence, social media, and digital marketing increasingly affect brand perception (LVMH in F1 or in Paris’ OG) and sales channels.
- **Sustainability and Ethical Practices** – Consumers increasingly value environmentally friendly production, responsible sourcing, and ethical business practices, making sustainability a key driver of brand reputation and long-term growth.

Business Overview - Competitive Landscape

Competitors and partners

• Competitors

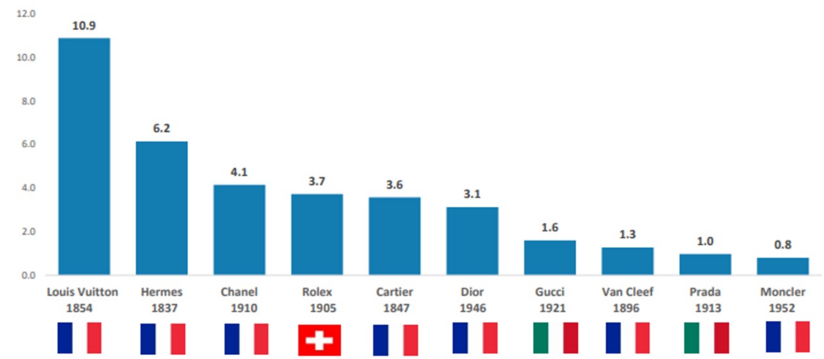
- **Kering (French)**: A leading French luxury group, Kering rivals LVMH in fashion and leather goods with iconic brands like Gucci and Saint Laurent.
- **Richemont (Swiss)**: This Swiss group challenges LVMH in watches and jewelry through prestigious brands such as Cartier and Montblanc.
- **Hermès (France)**: Renowned for its exclusivity, Hermès competes with LVMH in leather goods, fashion, and accessories.

• Partners

- **Apple (US)**: A global technology leader, Apple partners with LVMH to integrate digital innovation and luxury wearable experiences.
- **Alibaba (China)**: As a leading e-commerce platform, Alibaba collaborates with LVMH to expand its digital presence and reach affluent consumers in China.
- **Farfetch (UK):** An international luxury e-commerce platform, Farfetch works with LVMH to enhance online retailing and offer multi-brand luxury experiences.

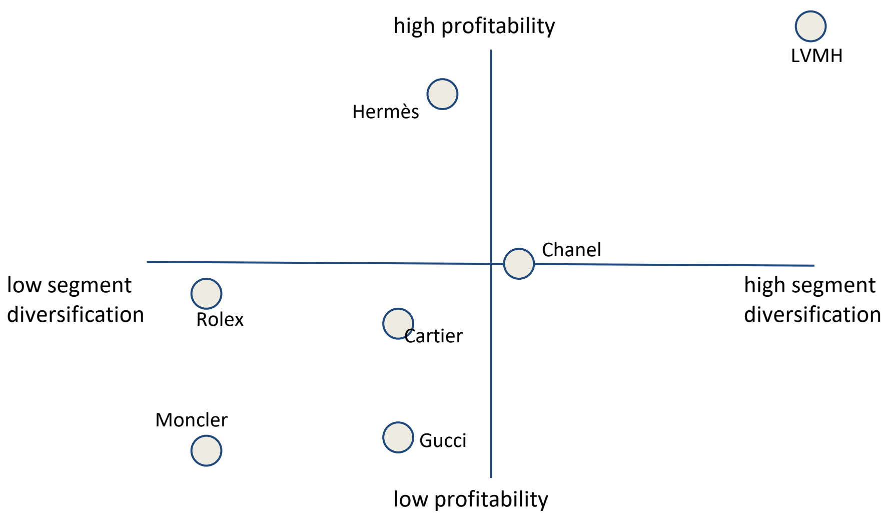
Top profitable Firms
(Based on 2024)

Exhibit 5: Top 10 luxury brands **by EBIT** in €bn in 2024 (MS estimates)



Source: Morgan Stanley Research estimates

Positioning Mapping



Business Overview - Key Trends

Key trends for the industry

- Short term

- **Digital transformation and AI integration:** Luxury brands are rapidly adopting AI and digital tools to enhance customer experience and operational efficiency.

- **Shift towards experience over ownership:** Consumers increasingly value unique experiences over material ownership, driving brands to create immersive services and events.

- Medium term

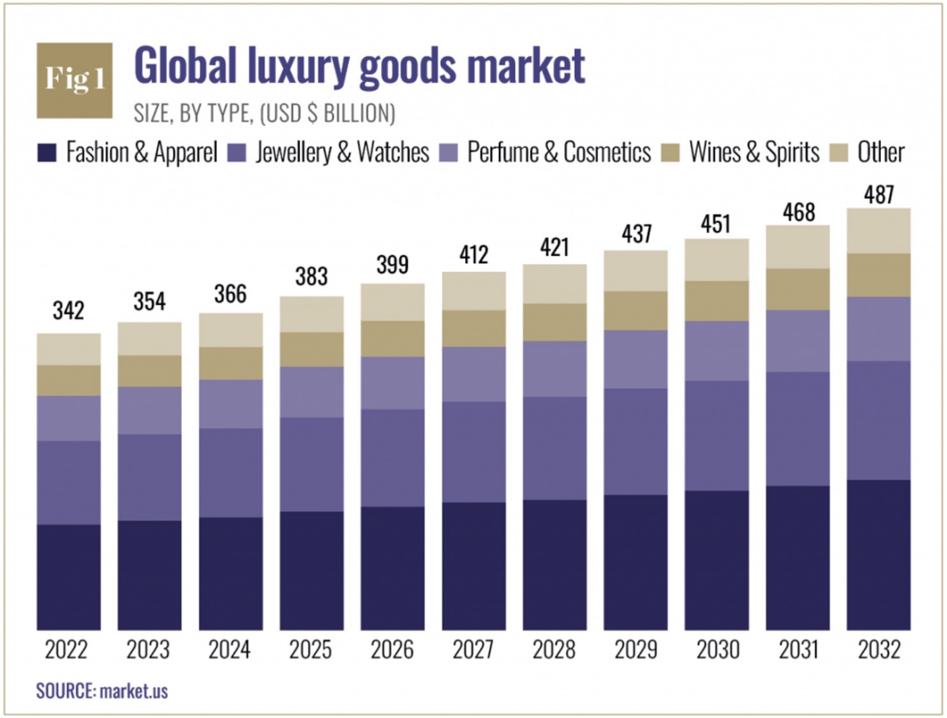
- **Sustainability and ethical practices:** Luxury brands are integrating sustainable and ethical practices to meet consumer expectations and regulatory requirements.

- **Expansion in emerging markets:** Rising disposable incomes in Asia and the Middle East are fueling luxury market growth in these regions.

- Long term

- **Technological innovation in product development:** Luxury products will incorporate advanced materials and smart technologies to blend sophistication with sustainability.

- **Demographic shifts and value reassessment:** Younger consumers prioritize authenticity, craftsmanship, and brand heritage over traditional status symbols.



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LVMH

Investment Thesis

Resilient financial performance amidst market challenges

- LVMH has demonstrated resilience in the luxury goods sector, reporting a 1% year-over-year sales increase in Q3 2025, reaching €19.1 billion, surpassing analyst expectations of €18.2 billion.
- The company's market capitalization stands at approximately €304.23 billion as of October 21, 2025.

Strategic expansion and brand reinforcement

- LVMH continues to invest in its brands, exemplified by the upcoming opening of a flagship Tiffany store in Paris. This expansion underscores the company's commitment to enhancing brand presence and customer experience.
- Such investments are expected to drive long-term growth and reinforce LVMH's position in the luxury market.

Strong market sentiment and analyst confidence

- Following LVMH's positive Q3 results, the company's stock surged by 14%, marking its best performance in over 20 years. This rally reflects renewed investor confidence in the luxury sector. Analysts have raised their ratings on LVMH, citing the company's robust fundamentals and growth prospects.
- LVMH offers a forward dividend yield of 2.45% as of October 2025, with a five-year dividend growth rate of 14.87%, reflecting the company's commitment to returning value to shareholders.

Focus: Berenberg's lux briefing note, January 2026

End of the "Super-cycle"

- Berenberg estimates that medium-term growth in the sector will fall from the historical norm of 6% to just 2-3%.
- The analyst argues that the industry is facing a structural demand problem rather than a mere temporary slowdown.

Geographical risks

- The report describes China as "structurally weakened" by its demographics, deflation, and a balance sheet recession linked to real estate, making a return to pre-pandemic growth levels highly unlikely in the short term.
- Although the US remains the strongest market, Berenberg warns that luxury spending there has become a "leveraged bet on AI," as it is now closely correlated with the performance of the S&P 500 index.

Top/Bad picks

- The note reaffirms a preference for "absolute luxury" with buy recommendations maintained on Hermès, Brunello Cucinelli, and Ferrari thanks to their lower dependence on buyers sensitive to economic cycles and their controlled scarcity.
- On the other hand, it downgrades LVMH (Buy -> Neutral) and Kering (Neutral -> Sell), considering that the groups are particularly vulnerable to both the Chinese market and aspirational customers.

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LVMH

Historical Share Price Analysis

Key Events & Share Price Drivers

1. **1987** – Acquisition of Boussac (Dior) by Bernard Arnault
2. **1999** – Merger of Louis Vuitton and Moët Hennessy
3. **2006** – Acquisition of Fendi
4. **2011** – Acquisition of Bulgari
5. **2017** – Stock price surge thanks to significant growth and reflecting investor confidence
6. **2020** – COVID, global economic uncertainties and disruptions in the luxury goods market.
7. **2021** – Acquisition of Tiffany & Co. for €14 billion. Strategic expansion into the high-end jewelry market.
8. **2023** – All-time high of €959,29, driven by strong financial performance and market optimism.
9. **2024** – Market correction, reflecting broader market trends and sector-specific challenges.
10. **Q3 2025** – LVMH's shares surged by 14% after reporting better-than-expected third-quarter sales, driven by a rebound in demand from China

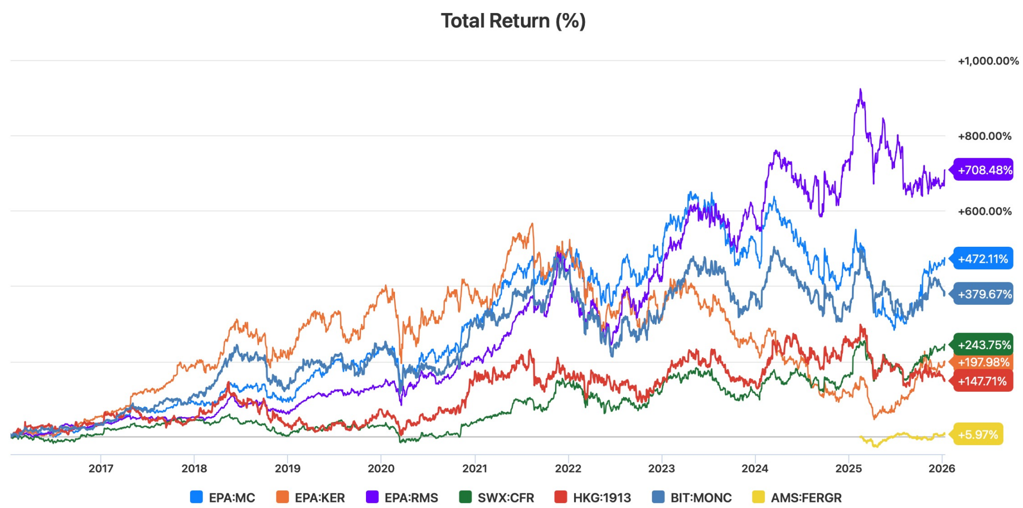
Broker estimates

Broker Estimates	Target Prices *($)*	Upside (%)	Rating
UBS (05/01/2026)	€725	**+11.83%**	**Buy**
Berenberg (15/12/2025)	€570	**-12.08%**	**Neutral**
Barclays (11/12/2025)	€580	**-10.54%**	**Neutral**
RBC Capital (09/12/2025)	€650	**+0.26%**	**Outperform**
JP Mogan (11/12/2025)	€610	**-5.91%**	**Neutral**
Deutsche Bank (01/12/2025)	€715	**+10.29%**	**Buy**
Overall average (25 analysts)	**€639.50**	**-1,36%**	**Moderate Buy**

Comparables Analysis

LVMH operates in the global luxury goods industry, competing with other major conglomerates such as Kering, Richemont, Hermès, Chanel, and Prada.

Key similarities: These companies manage diversified brand portfolios spanning fashion, jewelry, cosmetics, and selective retailing, targeting affluent consumers worldwide. LVMH can remain competitiveby leveraging its strong brand equity, global retail network, and strategic acquisitions while continuing to invest in innovation and digital luxury experiences. Like Kering and Richemont, it emphasizes sustainability and craftsmanship, but its scale and diversified brand ecosystem—ranging from Louis Vuitton to Sephora—allow it to sustain superior profitability and market leadership in a volatile global economy.



Symbol	Company Name	Market Cap	Stock Price	PE Ratio	Forward PE	EV/Sales	EV/EBITDA	Debt / Equity
EPA:MC	LVMH Moët Hennessy - Louis V...	322.22B	646.00	29.47	27.67	4.24	14.71	0.59
EPA:KER	Kering SA	38.53B	311.90	52.89	40.81	3.49	13.56	1.27
EPA:RMS	Hermès International Société en...	232.53B	2,216.00	51.97	47.87	14.28	31.36	0.12
SWX:CFR	Compagnie Financière Richemo...	103.12B	175.30	28.86	28.68	4.94	17.43	0.67
HKG:1913	Prada S.p.A.	108.85B	43.14	14.03	13.31	2.50	6.90	0.66
BIT:MONC	Moncler S.p.A.	14.56B	53.00	23.73	23.67	4.69	13.44	0.28
AMS:FERGR	Ferrari Group PLC	844.53M	9.18	17.65	13.68	2.13	10.68	0.17
			Low	14.03x	13.31x	2.13x	6.90x	0.12x
			Mean	**31.23x**	**27.96x**	**5.18x**	**15.44x**	**0.54x**
			High	52.89x	47.87x	14.28x	31.36x	0.67x

Multiples valuation

- Profit = 10,98bn€
- Forward profit = 11,86bn€
- Sales = 84,68bn€
- EBITDA = 22,43bn€
- Net debt = 9,23bn€
- Number of shares = 0,498bn

	P/E	Forward P/E	EV/Sales	EV/EBITDA
LVMH	29,47x	27,67x	4,24x	14,71x
Mean	31,23x	27,96x	5,18x	15,44x
xValuation (bn €)	342,91	331,56	429,41	337,09
price/share	**688,57 €**	**665,78 €**	**862,27 €**	**676,89 €**

[1]valeur non prise en compte

DCF Model Output

WACC Assumptions

Cost of Debt **4.79%**	As of December 2024, the cost of debt for LVMH was 442m€, for a total book value of net debt of 9.23bn€ => Cost of Debt = 0.442 / 9.23 = 4.79%.
Risk Free Rate **3.53%**	We use here the French 10Y rate
Cost of Equity **9.59%**	We use here a 6% market premium, usual to account for this sector and the CAPM model then: Ke = Rf + β * (Rm - Rf) with a β= 1,01
Weight of debt **3.74%**	Market cap : 322.45bn EUR / Total debts : 12.06bn EUR Weight of debt = 12.06 / 322.45 = 3.93%
WACC **9.71%**	WACC = (1- weight of debt * Cost of Equity + weight of debt * Cost of Debt * (1 - Tax Rate) = (1 - 3.74%) * 9.59% + 3.74% * 4.79% * (1 - 26.95%) = 9.71%

DCF Model Output

Terminal Value – Perpetuity Growth Method

2024 FCF : EUR 10.48 B

FCF growth for the next 10Y : 8%

Baseline Terminal FCF Growth Rate: 4%

Baseline Terminal Value : EUR 155.09bn

Diluted shares outstanding : 498m

Net debt : EUR 9.23 B

Baseline EV : EUR 237.46bn

Implied Share Price from DCF	458.57 €	Premium to Current Share Price	- 29.3 %

Sensitivity Analysis

		Terminal earnings growth rate				
		2,00%	3,00%	4,00%	4,50%	5,00%
WACC	8,00%	487,28 €	559,35 €	667,46 €	744,67 €	847,63 €
	9,00%	412,98 €	460,36 €	526,69 €	570,91 €	626,19 €
	9,71%	373,30 €	409,58 €	458,57 €	490,12 €	528,37 €
	10,00%	359,41 €	392,14 €	435,78 €	463,56 €	496,88 €
	11,00%	319,47 €	342,93 €	373,10 €	391,67 €	413,33 €

DDM Model Output

Terminal Value – Gordon Growth Model

Dividends 2025 : EUR 13.00

Estimated dividends :

	divE 2026	divE 2027	divE 2028	divE 2029	divE 2030	divE 2031
dividends	12,97 €	14,20 €	18,34 €	24,38 €	25,75 €	27,29 €

Dividend growth rate perpetual : 1.00%

Cost of Equity: 9.59%

Implied Share Price from DDM	453.28 €	**Premium to Current Share Price**	- 30 %

Sensitivity Analysis

		Dividend growth rate				
		0,00%	**1,00%**	**2,00%**	**3,00%**	**4,00%**
COST OF EQUITY	**8,00%**	427,66 €	480,29 €	550,47 €	648,71 €	796,08 €
	9,00%	389,76 €	431,08 €	484,19 €	555,02 €	654,17 €
	9,59%	371,11 €	407,41 €	**453,28 €**	513,07 €	594,26 €
	10,00%	359,44 €	392,79 €	434,49 €	488,09 €	559,57 €
	11,00%	334,63 €	362,17 €	395,83 €	437,90 €	491,99 €

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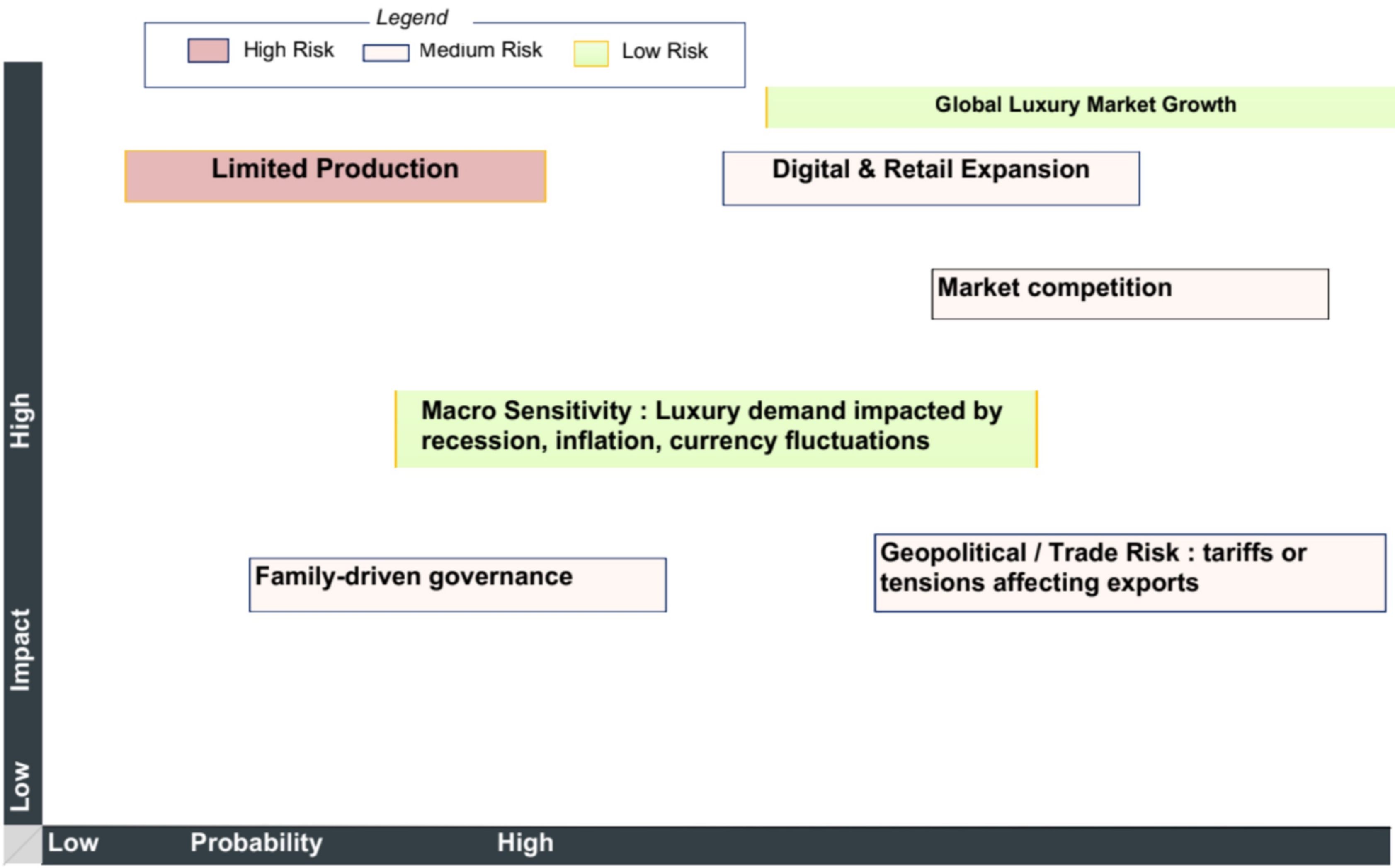
LVMH

Risk Considerations



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LVMH

Price Target & Recommendation

Price Target		
Valuation Summary		
Analysis	**Price**	**Weight**
Current price	643.8€	30%
Brokers	639.50€	20%
DDM	453.28€	10%
DCF	458.57€	20%
Multiples	723.38€	20%
Target Price	**602.76€**	100%

- Overvalued
- Critical moment due to a possible end of the « Super-cycle »
- No risk-play: under 590€
- Price target: 603€